EYEING A BIGGER BITE

INDIA IS NOT JUST A BIG MARKET FOR APPLE'S SMARTPHONES, BUT CAN ALSO BE A KEY MANUFACTURING BASE FOR THE FIRM, HELPING IT REDUCE ITS DEPENDENCE ON CHINA

By M.G. Arun





TIM COOK, THE CHIEF EXECUTIVE OF APPLE INC, had what he described as "an incredible week" in India starting April 17. During his visit, Cook inaugurated the Cupertino, California-based company's two 'owned' stores in India—its first-ever here—in Mumbai's Bandra Kurla Complex and New Delhi's Saket, interacted with scores of customers as well as beneficiaries of Apple's corporate social responsibility initiatives and met Prime Minister Narendra Modi and two of his ministers, Ashwini Vaishnaw and Rajeev Chandrasekhar. Cook was visiting India seven years after his earlier visit in 2016, and he had good reasons to come by now.

Not only is India one of Apple's key markets for its products, with a 42 per cent share in the premium smartphone segment in 2022, it is also a key manufacturing base for iPhones made for the global market, with its three contract manufacturers here assembling iPhones worth Rs 57,390 crore in 2022-23, three times more than in 2021-22. And that can only grow. Apple is estimated to have shipped 224.7 million iPhones worldwide in calendar year (CY) 2022, of which close to 5 per cent or 11 million phones are made in India. Shipments refer to those handsets that a company supplies to its retailers, not all of which may ultimately be sold.

This is happening because Apple, the world's most valued company and the largest technology company by revenue, is planning to shift more of its global iPhone manufacturing base to India, away from China, where it currently produces up to 85 per cent of iPhones globally, as the company looks to de-risk its global manufacturing supply chain. Several US companies